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Research

The Rise of the RMB Financing Ecosystem

From Panda and Dim Sum Bonds to Deeper Capital Markets

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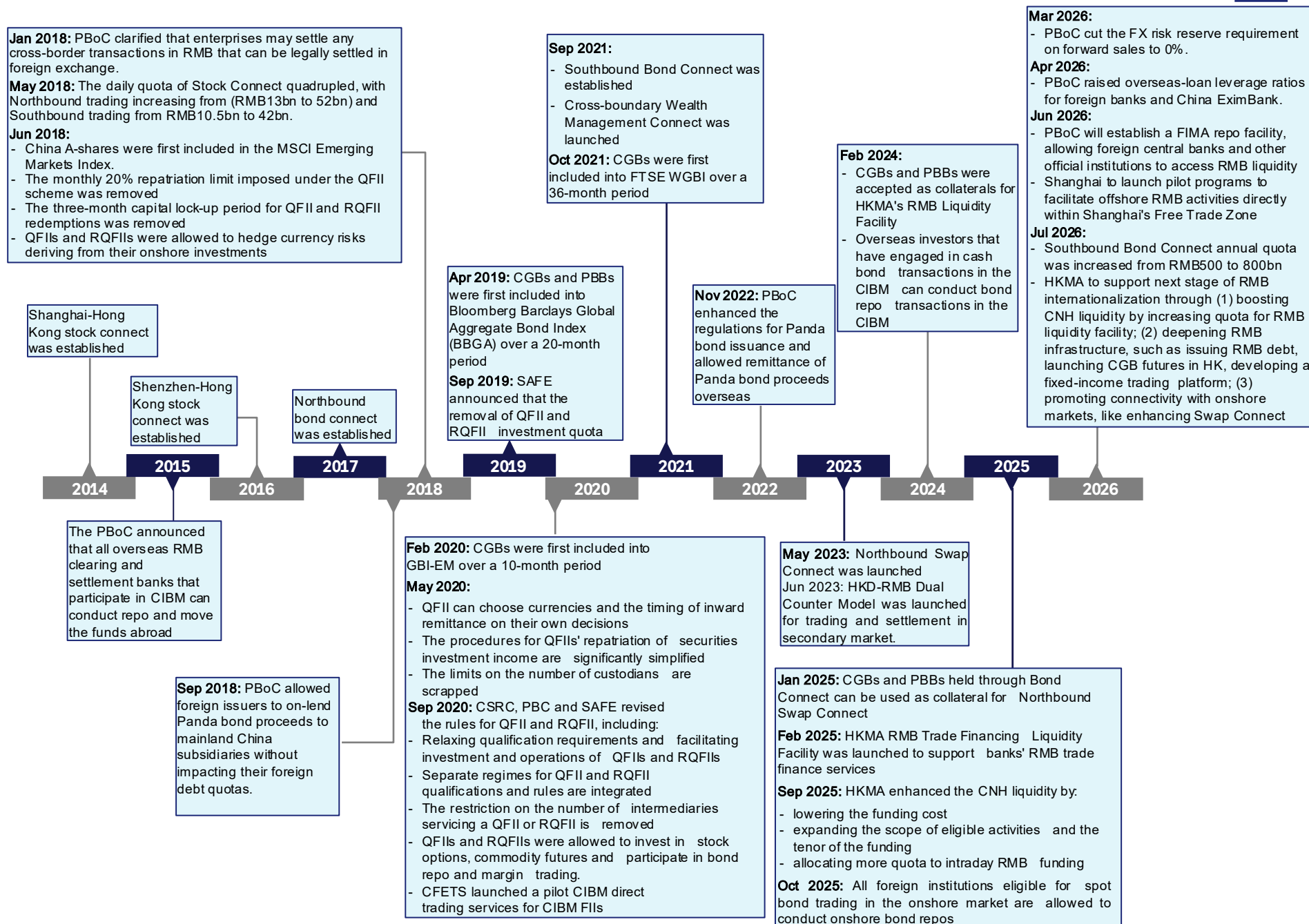
13 July 2026

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- **Explicit policy shift to accelerate internationalization.** China's 15th Five-Year Plan (2026-30) explicitly elevates RMB internationalization to a strategic priority, departing from its previous cautious approach. This acceleration is evident in early 2026 actions like cutting FX risk reserves and expanding Southbound Bond Connect, boosting liquidity and market access. Supported by Hong Kong, these moves signal a clear, high-level commitment to the RMB's global role.
- **Diverging and complementary market roles.** The Panda and Dim Sum bond markets are evolving into a dual-engine system. The Panda market serves as a funding channel for foreign entities to raise globally usable RMB, with proceeds now flexibly remittable offshore. Conversely, the offshore Dim Sum market is solidifying its position as the core asset hub for international investors, fueled by asset diversification and rising mainland demand.
- **Panda market maturation into a strategic tool.** The Panda market's recent 60% YoY growth is now structurally driven, not just by cost. Over half of proceeds are used offshore, confirming its value as a global RMB source. However, its strategic potential is constrained by a short-term focus (mostly sub-3-year issuance) and continued dominance by financial sector borrowers.
- **Dim Sum market diversification and sophistication.** The Dim Sum market is rapidly maturing as a sophisticated offshore hub. Its significant diversification includes foreign issuers exceeding 25%, a shift from real estate to tech in domestic issuance, and a trend towards longer-dated debt. This reflects growing investor confidence, bolstered by new mainland demand via Southbound Bond Connect.
- **Next frontier - a focus on building a complete financial ecosystem.** The next phase of RMB internationalization shifts beyond bond issuance growth to building robust financial infrastructure. The primary challenge is matching offshore RMB supply with deep secondary market liquidity, reliable benchmark yield curves for price discovery, and comprehensive risk management tools. Long-term success hinges on creating this complete, liquid ecosystem.
- **A deeper offshore RMB financial market.** RMB internationalization will deepen CNH rates, funding, and FX markets. A more robust CNH government bond market will establish benchmark yield curves, while active IRS, CCS, and FX swap markets will enhance hedging, funding efficiency, and price discovery.
- **Expanding European participation in RMB funding markets.** While European entities dominate foreign issuance in both Panda and Dim Sum markets, this participation is highly concentrated among a few financial sector repeat borrowers, with corporates largely absent. Barriers include smaller deal sizes, a narrower investor base, and lack of market familiarity. As RMB internationalization progresses, we anticipate broader international issuer participation, particularly from European corporates given strengthening EU-China ties.

RMB internationalization timeline





Policy stance has shifted from cautious to explicit. China's 15th Five-Year Plan (2026-30) elevates RMB internationalization to a strategic priority, removing the previous "cautious" language. This policy shift is backed by a rapid and concrete sequence of actions in early 2026 amid a global de-dollarisation trend.

The PBoC has moved to boost liquidity and ease controls by cutting FX risk reserve requirements, unifying lending quotas, and raising loan leverage ratios to support the Panda bond market. It also established a FIMA repo facility for foreign central banks and significantly expanded the

[Southbound Bond Connect](#), increasing its quota to RMB 800bn while extending its scope to Macau and HKD-denominated assets.

Concurrently, Hong Kong authorities are actively supporting this push by increasing their [RMB liquidity facility](#) to RMB500bn, extending its tenure, launching CGB futures, and enabling direct RMB-IDR trading.

Progress is uneven. While official commitment to RMB internationalization is strong—evidenced by record transaction volumes on China's CIPS payment system—progress remains uneven. RMB settlement in China's goods trade has surged from 13% (2019) to a projected 30% by 2025. However, the currency's broader global footprint is modest, holding only a ~1-4% share across global payments, FX reserves, and debt securities. This is disproportionately low compared to China's ~19% share of global GDP, highlighting significant room for growth, particularly in the RMB's role as a global financing currency.

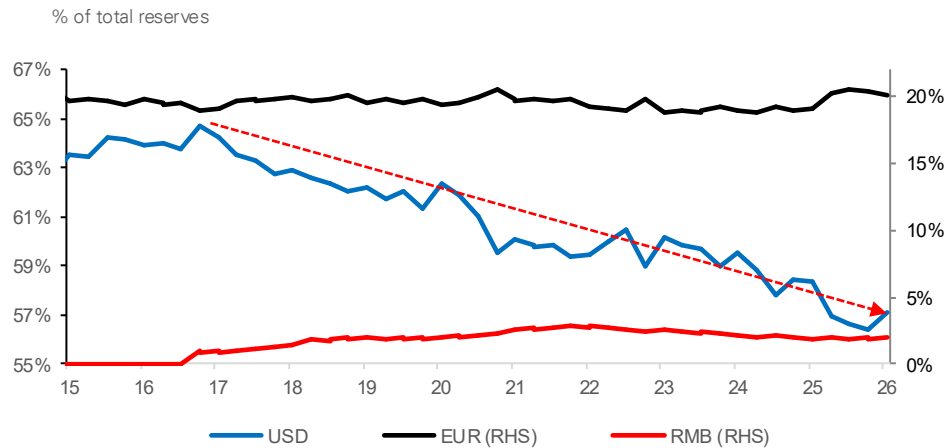
The center of gravity has moved from trade to investment flows. The nature of cross-border RMB usage has fundamentally changed. While total transaction volume has surged to RMB 70tn, the critical story is the shift in composition. Capital and financial account transactions now constitute ~75% of total RMB settlements, marking a decisive move from trade to investment as the main engine.

This shift means the next phase requires a deeper financial ecosystem. The focus must be on creating more robust channels for both raising and deploying RMB capital. This includes: easier access to RMB funding through both onshore (Panda bonds) and offshore (Dim Sum bonds) markets, more sophisticated hedging tools, and a broader array of attractive RMB-denominated assets for global portfolios (such as offshore Dim Sum bonds).

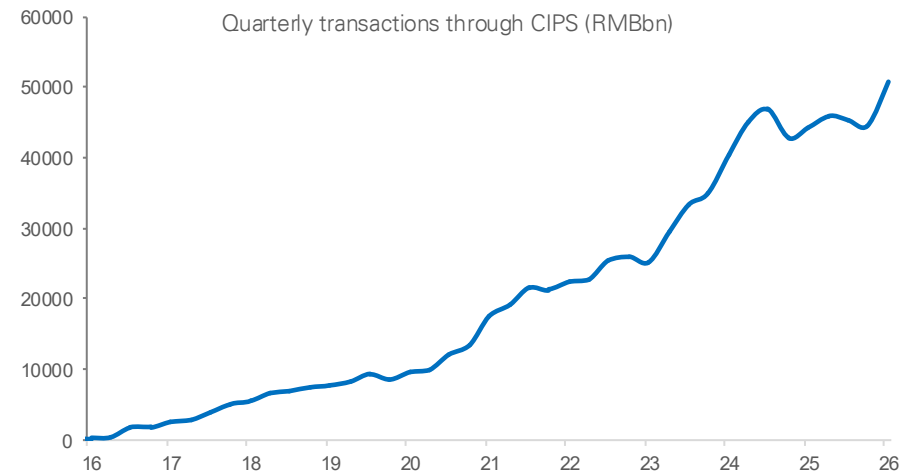
A strategic push amid ongoing de-dollarisation theme



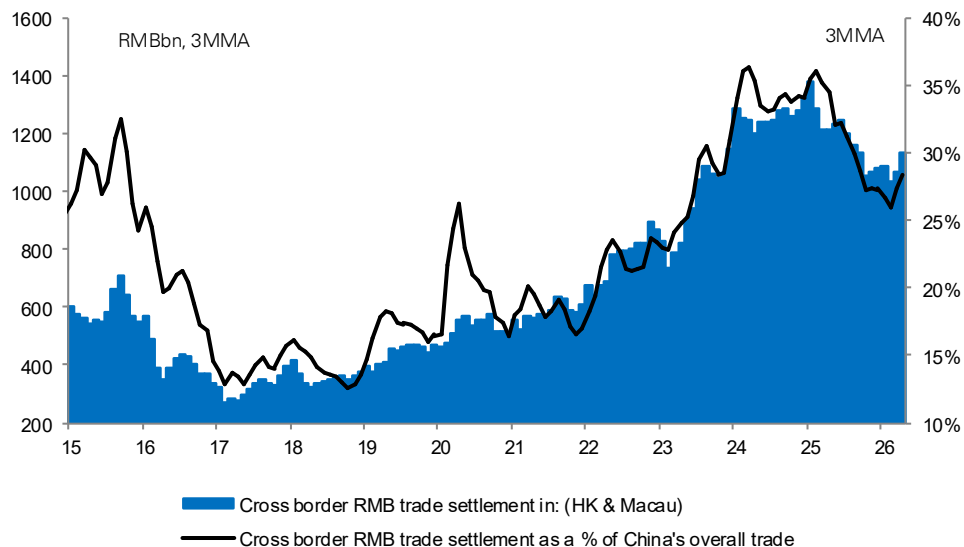
USD's declining share of reserves points to ongoing de-dollarization



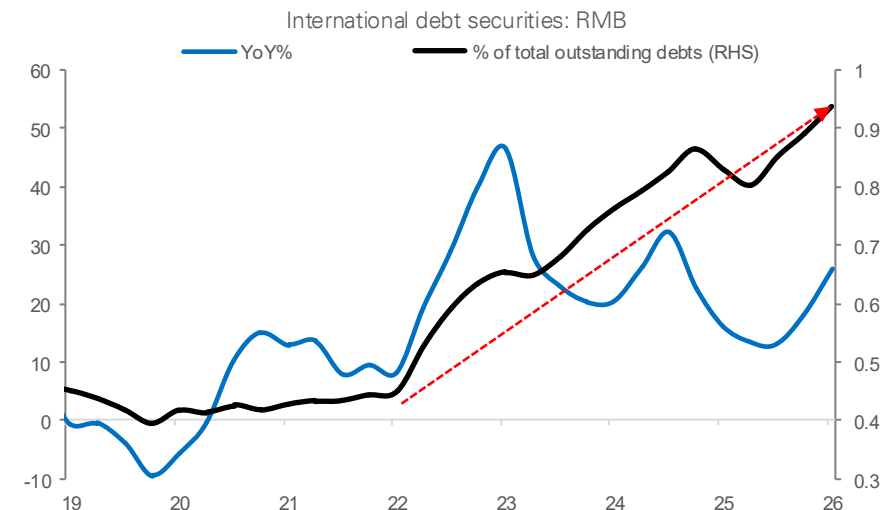
RMB transactions through CIPS hit a record high



A more active use of RMB in trade settlement



RMB-denominated debt issuance has risen notably particularly as China pushes to develop the Panda and Dim Sum Bond markets



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind



Since our 2025 primers on the [Dim Sum](#) and [Panda](#) bond markets, the two have entered a new, more dynamic chapter. The pace of change has accelerated, and the characteristics of each market are beginning to diverge in important ways. How so?

First, by accelerating on different tracks. The onshore Panda bond market is experiencing a record year, with issuance surging. In the first half of 2026 alone, volume exceeded RMB 160bn, marking an annual growth rate of over 60%. This boom is driven by more than just low financing costs; it is a direct result of fundamental improvements to the market's architecture.

Streamlined issuance procedures—such as unified regulatory oversight and shelf registration frameworks—have made the process feel more like a mainstream funding market. Crucially, more flexible fund [rules](#) allowing issuers to remit proceeds overseas without many operational hurdles, transforming Panda bonds from a ring-fenced pot of onshore currency into globally usable RMB funding. This flexibility, combined with a clear upward trend in gross issuance, signals a new stage of maturity for the market.

In contrast, the offshore Dim Sum market's strong growth is driven by diversification. This market is poised for a significant boost not only as mainland insurers gain access via the Southbound Bond Connect but also the expansion of the quota to RMB800bn from RMB500bn, creating a new source of demand for an issuer base that is increasingly foreign-led.

Second, by developing distinctly different market "DNA". While both markets are crucial for RMB internationalization, they are evolving with unique characteristics:

Issuer base - Panda stays traditional while Dim Sum embraces Tech. The Panda market remains dominated by financials and other traditional sectors. The Dim Sum market, however, shows a clear trend of diversification. Issuance from the IT sector has risen sharply, a visible and growing slice of the market that is almost non-existent in the Panda space. This surge is driven by a perfect storm of factors: Chinese tech giants are seeking cheap, long-tenor CNH funding to finance their massive AI and cloud capex cycles. The Dim Sum market meets this need, offering low borrowing costs and longer durations that match their investment horizons, all while tapping into strong investor appetite for high-grade CNH credit.

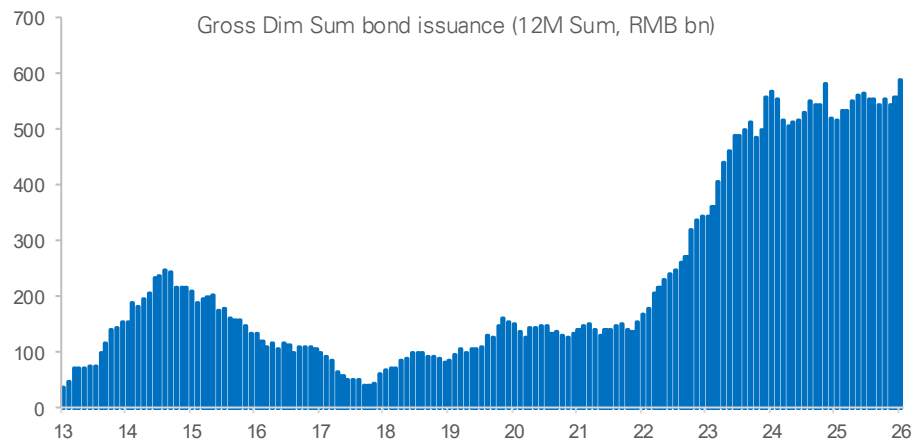
Duration profile. Panda stays short, Dim Sum extends. The markets operate on different time horizons. The Panda market is overwhelmingly short-term, with nearly all issuance YTD having a tenor of 3 years or less. This is not due to regulatory caps, but rather a reflection of the onshore market's structure: demand is concentrated at the front end, dominated by banks managing short-term assets. With a historically flat yield curve offering little extra yield (term premium) to go further out, there has been limited incentive for issuers to offer or investors to buy longer-dated paper.

The Dim Sum market, conversely, is showing clear signs of maturity with a discernible trend towards longer-dated issuance, with a significant and growing share of bonds in the 5-year and longer tenors.

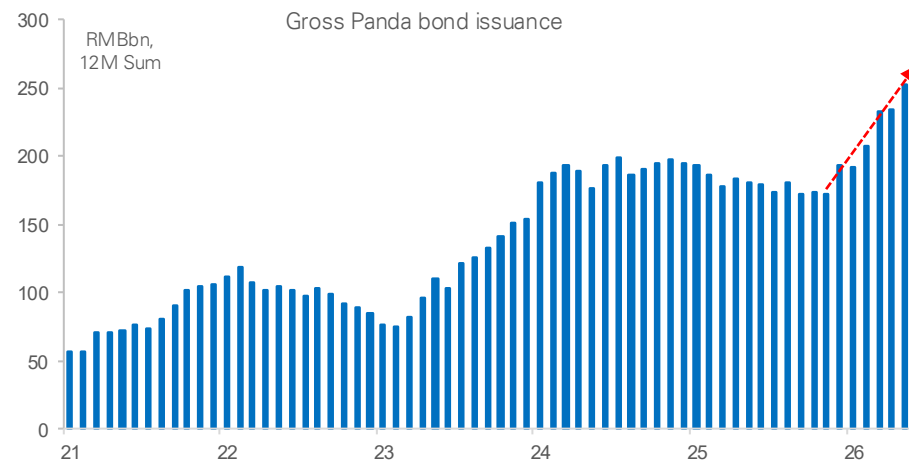
The divergence in focus - key trends to note



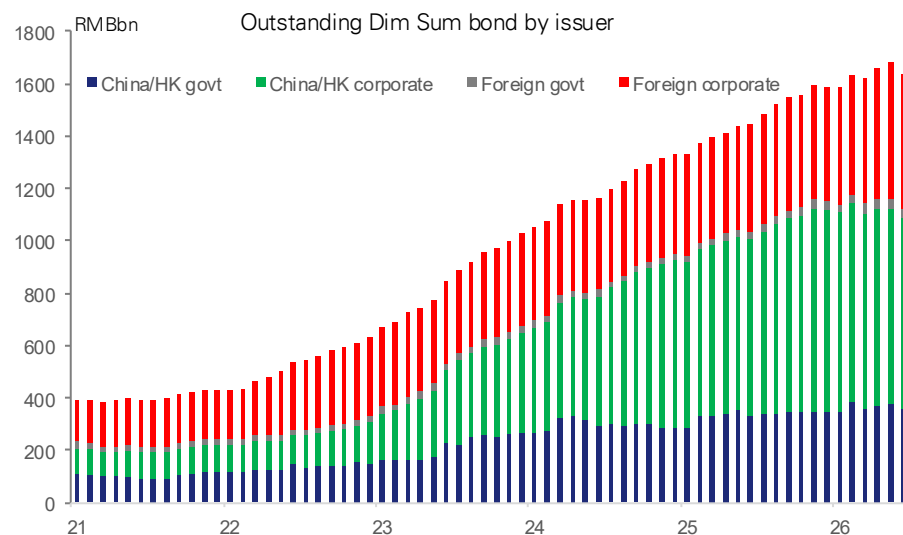
Steady growth in the Dim Sum bond market poised to deepen



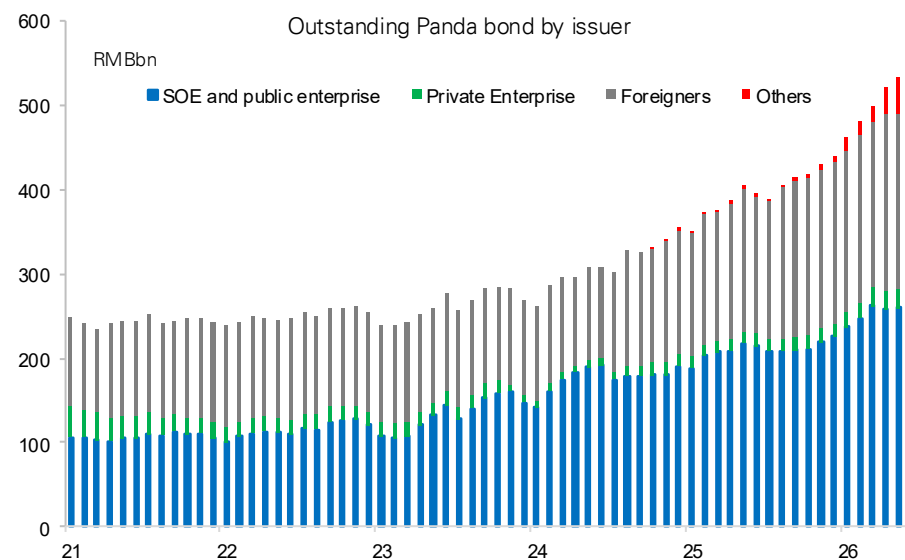
Policy easing unlocks new growth phase in the Panda bond market



Becoming the Go-To offshore RMB hub not just for government entities but also corporates



A hybrid market set to attract more foreign issuers

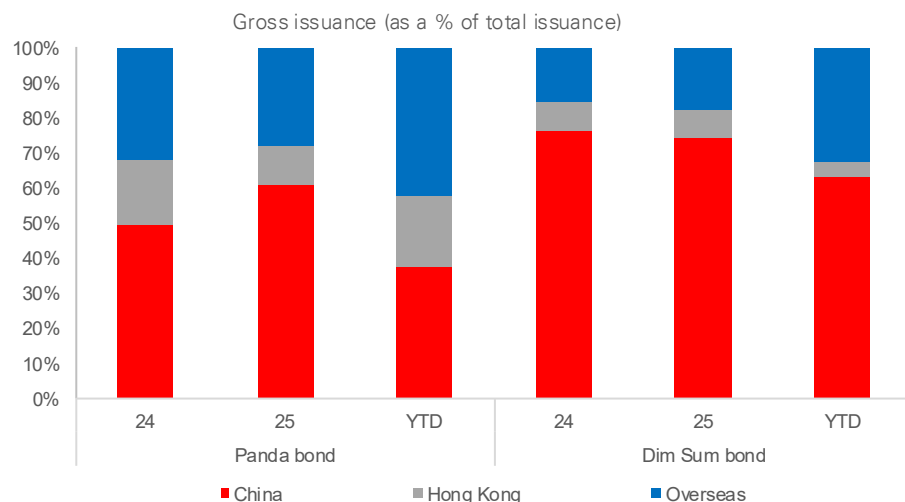


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

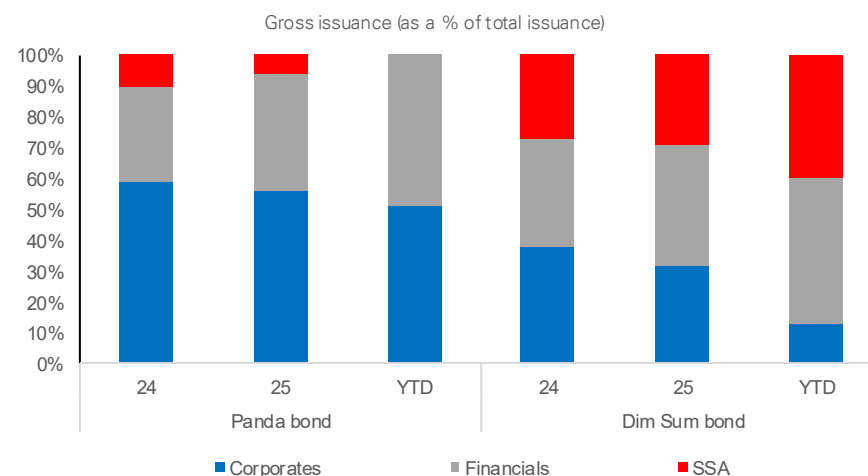
The DNA of the two diverging markets



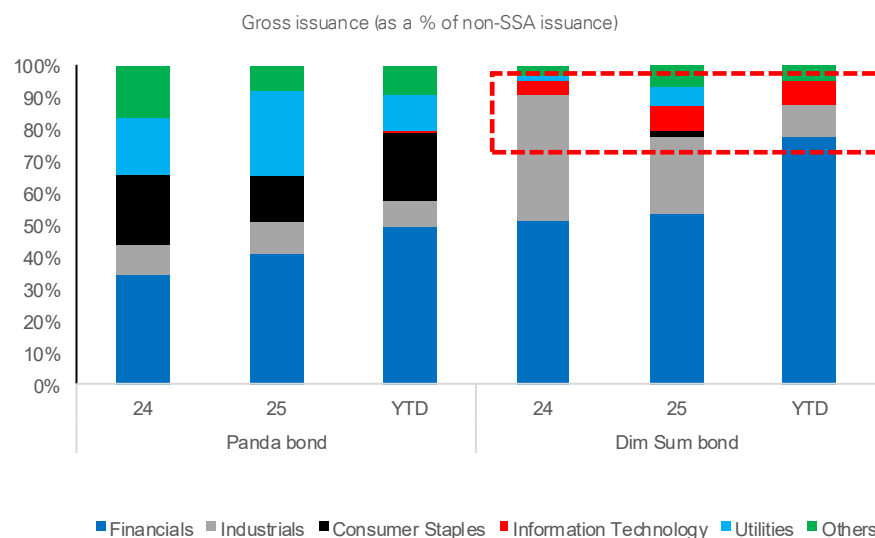
Internationalization deepens as foreign issuers gain dominance



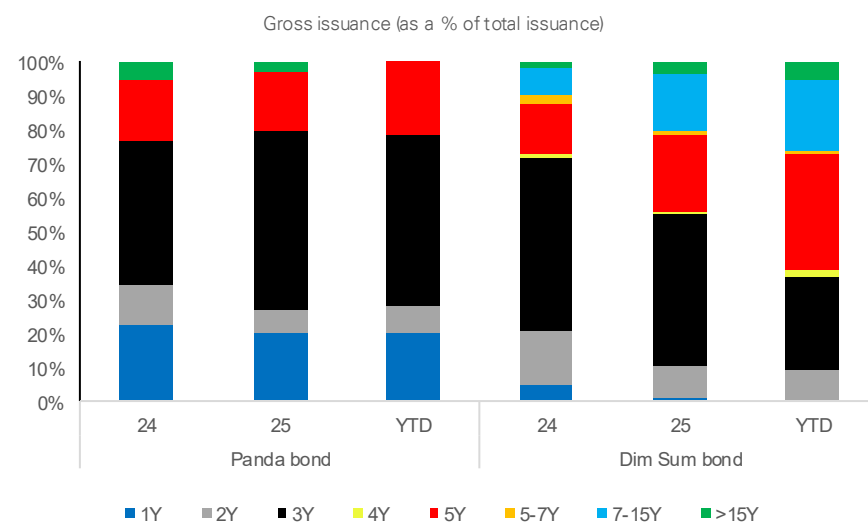
Financials pave the way, laying the foundation for broader corporate use



Dim Sum diversifies into Tech, signalling a shift to new-economy funding



Dim Sum matures with longer tenors as Panda stays short-term focused



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind



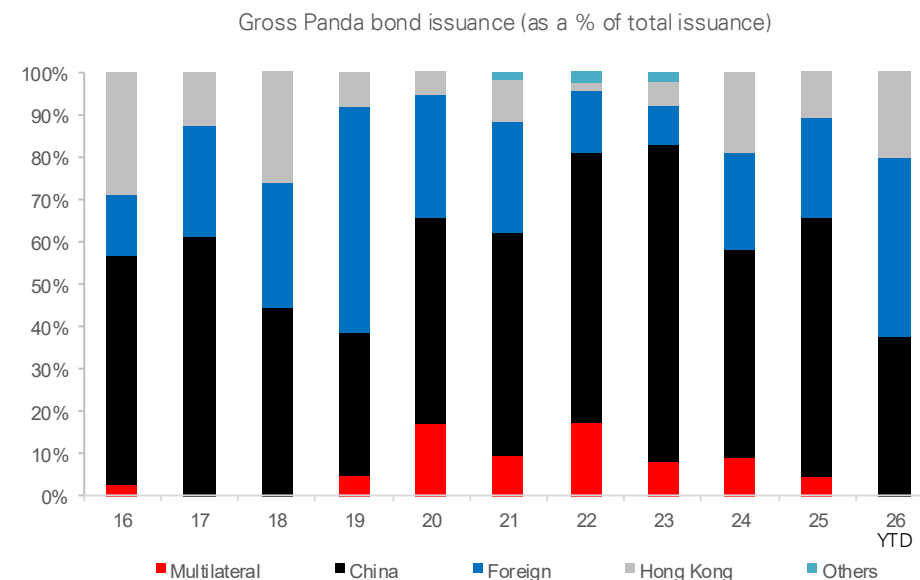
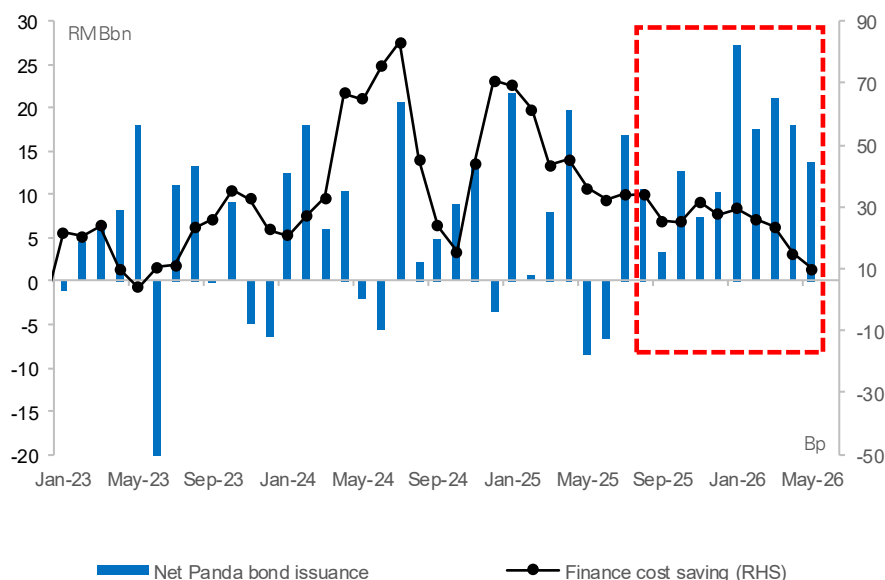
The Panda bond market is showing clear signs of maturation, with net issuance remaining resiliently positive even as financing cost advantage narrows. This indicates the market views the Panda bond market increasingly as a strategic funding tool. This shift is driven by structural improvements on both the supply and demand side. On the supply side, three key trends are evident:

- **Broadening foreign participation.** Foreign issuers have become a cornerstone of the market, consistently accounting for over 30% of issuance from less than 10% a decade ago. While financial institutions remain the core issuer base, the market is gradually diversifying.
- **Rising offshore usage.** Issuers are increasingly using Panda bonds for offshore funding. The proportion of proceeds repatriated for offshore use has climbed to 53% in 2026 YTD, a notable increase from the sub-40% levels seen previously. This is a direct result of regulatory easing that has transformed Panda bonds from a ring-fenced onshore tool into flexible, globally usable RMB funding.
- **Persistent short-term focus.** The market remains heavily concentrated in shorter tenors, with issuances of 3 years or less making up the vast majority of activity. This reflects an onshore investor base that is still predominantly focused on the front end of the curve.

On the demand side, domestic banks continue to be the primary absorbers of new issuance. However, a positive sign for market depth is the modest return of foreign buying this year, reversing the net selling seen in 2025.

Issuance remains resilient as market moves beyond cost saving

Foreign participation becomes a cornerstone of the market

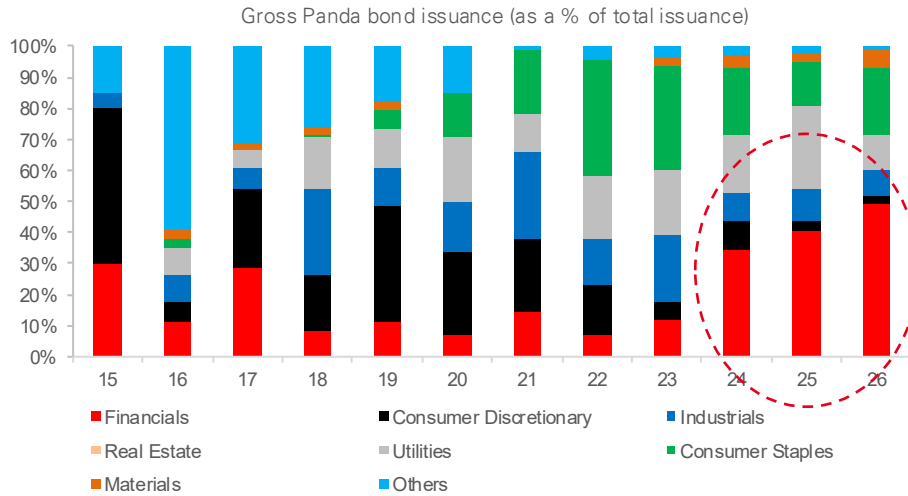


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

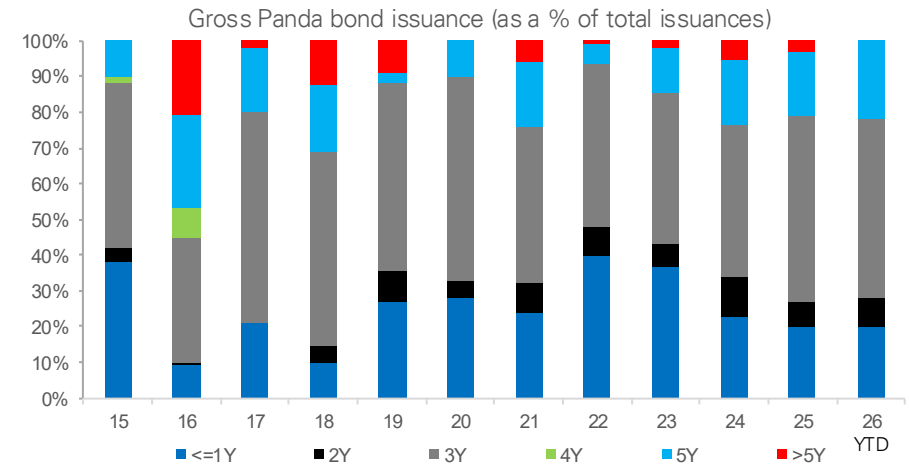
Key trends shaping the Panda market



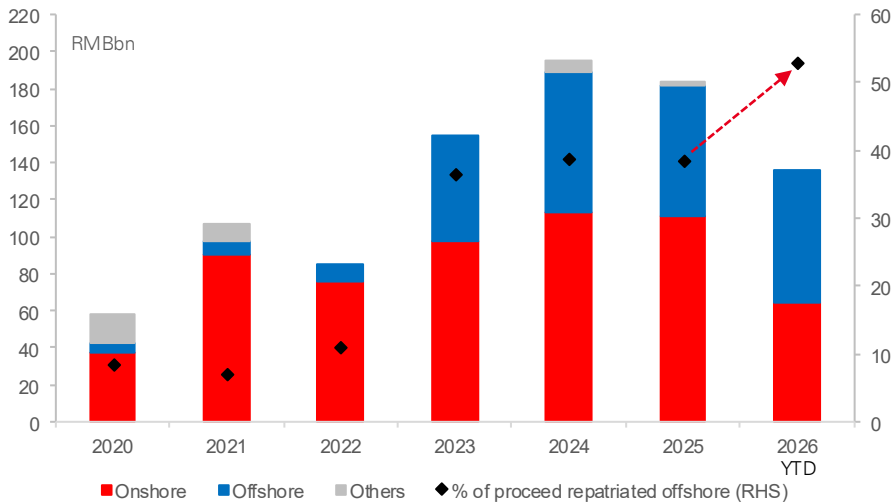
Financials continue to pave the way for broader issuer growth



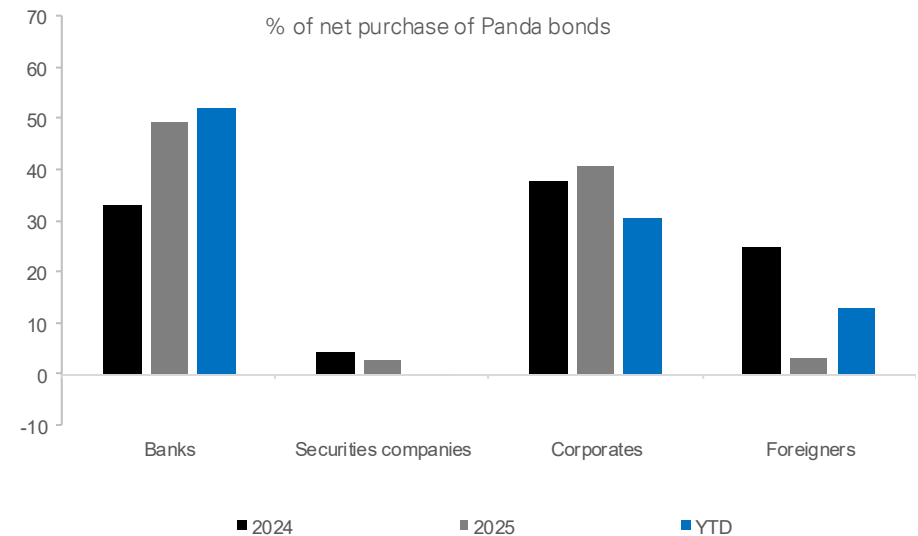
Short tenors still dominate, highlighting room for market deepening



Flexibility increases as offshore use becomes the default



Foreign investor demand returns, signalling renewed confidence



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

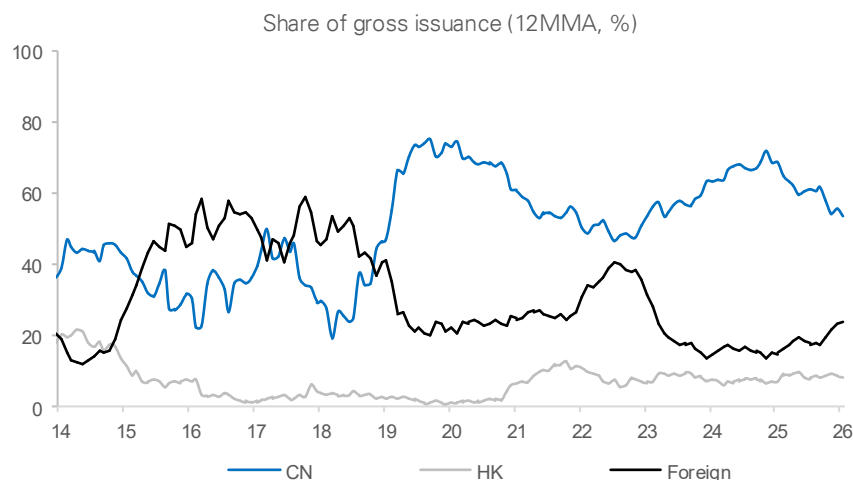
Dim Sum market is becoming deeper and more diversified



While Panda bonds are evolving into a strategic tool, the offshore Dim Sum market is charting an equally dynamic, though distinct, course. A few key trends reshaping the Dim Sum market:

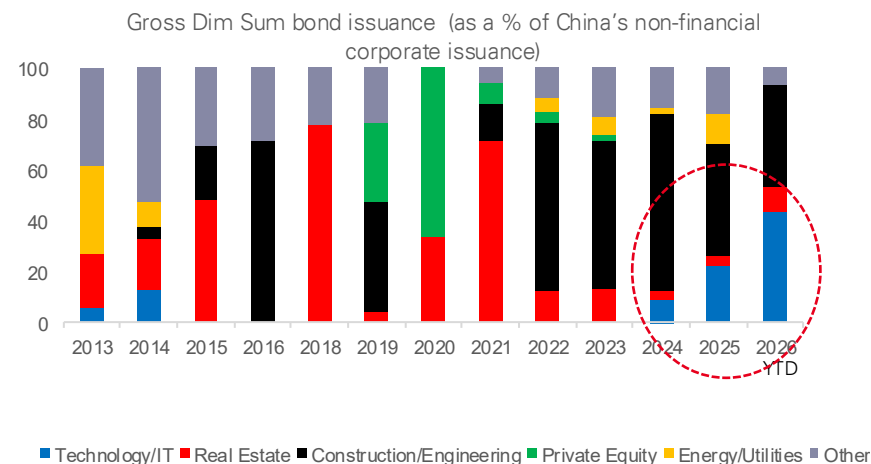
- **Foreign issuers now dominate.** Foreign entities have become the cornerstone of the market. Their share of gross issuance has climbed from less than 15% to over 25% in recent years.
- **Tech replaces real estate.** Among domestic issuers, there has been a clear rotation from "old economy" to "new economy." Where real estate once dominated issuance, the Tech/IT sector has surged to become a primary driver, reflecting the capital needs of China's growing tech sector.
- **Issuance tenors are extending.** The market is showing clear signs of maturity as issuers, particularly foreign ones, are increasingly comfortable issuing longer-dated debt. The share of bonds with tenors of 5 years or more has grown significantly, and a nascent market for 15Y+ bonds is beginning to emerge, signalling greater investor confidence and more sophisticated funding strategies.
- **Supportive regulation is unlocking new demand.** The demand side is set for a major boost. Recent policy liberalization, such as allowing mainland lifers (May 2026) to purchase Dim Sum bonds via the Southbound Bond Connect, is set to unlock significant new pools of capital, creating a sustainable demand base to support future growth. Adding to that has been the increase in Southbound Bond Connect quota to RMB800bn and the widening in products Southbound Bond Connect participants can purchase.

Foreign participation becomes a cornerstone of the market



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

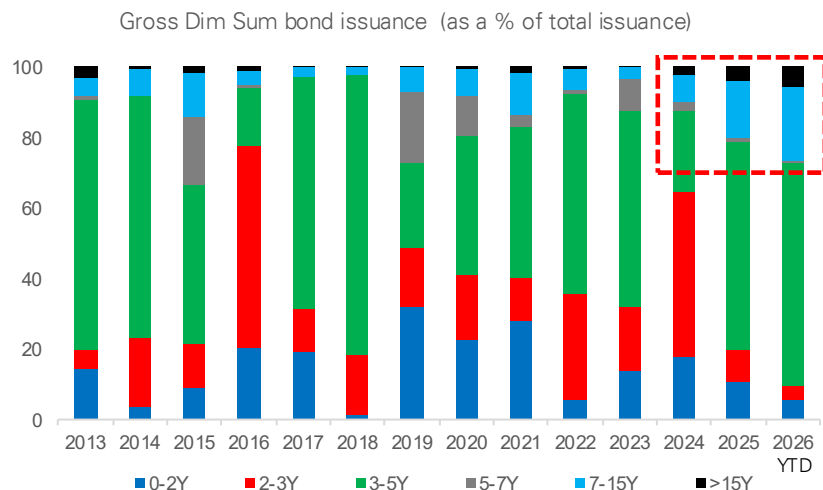
Tech firms replace property-linked sectors among domestic issuers



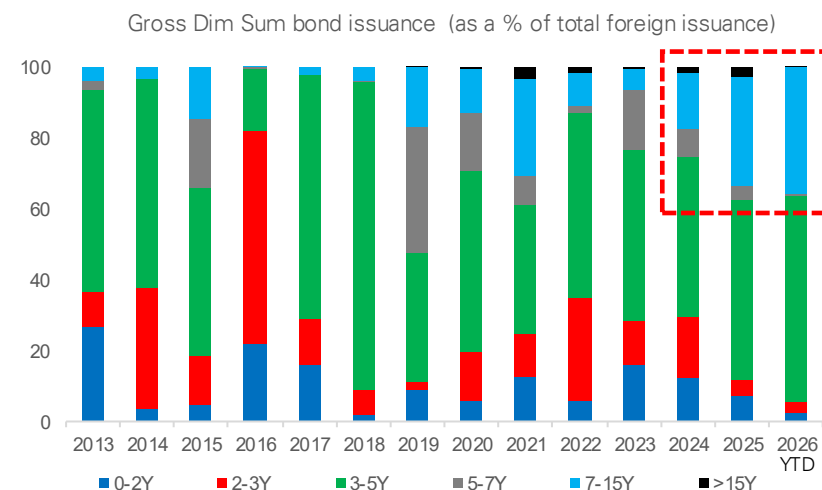
Market depth and demand continue to improve for Dim Sum bonds



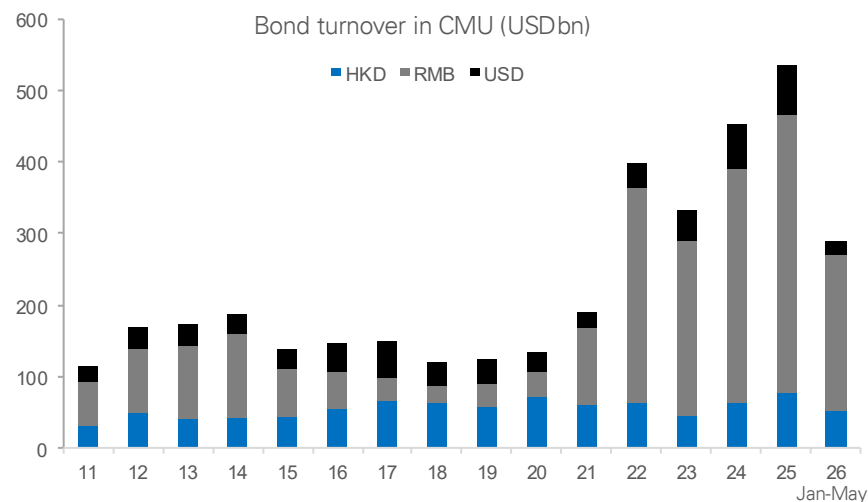
Extended issuance tenor for Dim Sum bonds...



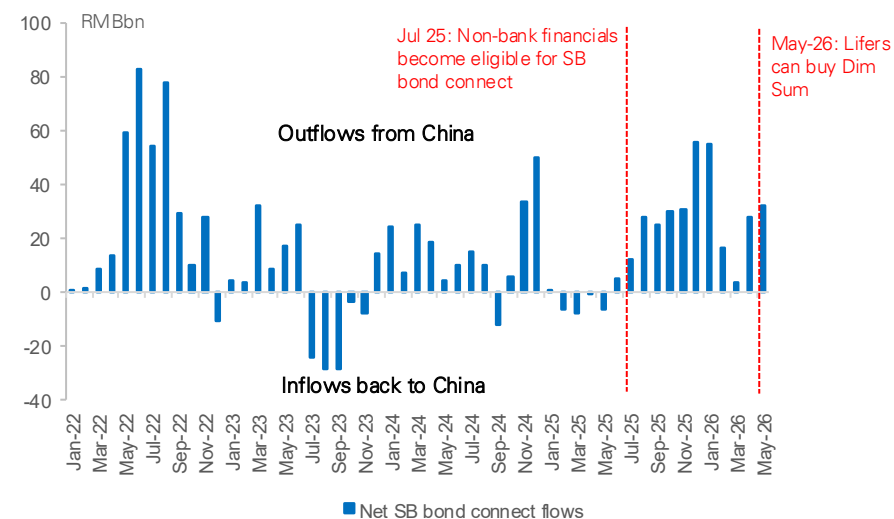
...led by foreign issuers



RMB bonds dominate Hong Kong bond market



Supportive demand-side regulation should underpin Dim Sum demand



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind



Over the next five years, Panda and Dim Sum bond markets will increasingly drive the maturation of RMB capital markets and cross-border RMB finance. While not individually determinative, they collectively expand investable RMB assets, deepen funding channels, and link domestic and international investor pools, fostering a comprehensive RMB ecosystem for funding, investment, and redeployment.

China's onshore market is becoming more accessible to foreign issuers through regulatory reforms. Concurrently, Hong Kong is solidifying its role as the primary offshore RMB hub by developing benchmark yield curves, trading infrastructure, and market connectivity. These trends bolster RMB's use as a financing and investment currency, complementing its growing role in trade settlement.

However, progress remains subject to uncertainties, including capital-account restrictions, offshore RMB liquidity, investor participation, hedging market development, and the broader macroeconomic and geopolitical environment. Therefore, Panda and Dim Sum bonds should be viewed as crucial building blocks for RMB internationalization.

Panda market: From policy initiative to emerging funding channel

The Panda bond market appears to be moving beyond its early developmental phase and becoming an increasingly relevant funding channel for international issuers. Historically, Panda issuance was relatively limited, concentrated among supranationals and policy-oriented borrowers, while documentation requirements and restrictions on fund usage constrained broader participation. Regulatory reforms have gradually reduced these obstacles, allowing a wider range of foreign sovereigns, financial institutions, and corporates to access China's domestic bond market.

Recent issuance growth suggests increasing market acceptance. Issuer diversity has improved, geographic participation has broadened, and average tenors have gradually extended. Together, these developments suggest growing confidence among both issuers and domestic investors.

And we expect Panda volumes to continue to grow at the 3Y avg growth rate (20-30% YoY) in the coming years, assuming China continues to loosen Panda's operational hurdles. This will push annual issuance from the current area toward RMB220bn.



Panda market: Better access, but depth still lags issuance

Nevertheless, continued growth should not be viewed as automatic. Market development ultimately depends on broader macroeconomic conditions, issuer economics, and confidence in China's financial-market reforms.

Several ongoing reforms could improve Panda market functionality:

- **Programmatic issuance.** Movement toward registration-based frameworks and more streamlined treatment of repeat issuers may reduce issuance costs and improve market accessibility.
- **Product diversity.** The expansion of green, sustainability-linked, and other types of RMB bond structures could broaden the issuer base and attract new investors.
- **International alignment.** Incremental progress on documentation standards, disclosure practices, pricing transparency, and allocation processes may reduce operational barriers for foreign borrowers.

If these trends continue, Panda bonds could increasingly resemble established foreign-issuer local-currency markets, such as the Samurai market, becoming a standard funding option for selected international issuers seeking RMB exposure.

Having said that there are still several structural constraints:

- **Investor concentration.** The investor base remains heavily skewed toward domestic banks, foreign banks' onshore accounts, and top-tier non-bank asset managers, limiting secondary-market turnover and price discovery.
- **Limited long-end development.** Longer-dated issuance remains relatively scarce, constraining the development of a deeper RMB credit curve for foreign issuers.
- **Operational complexity.** Although issuance has become more efficient, documentation, accounting, language, and regulatory requirements remain more demanding than in mature USD and EUR bond markets.
- **Hedging and liquidity.** China's repo, derivatives, and hedging infrastructure has improved significantly, but cross-currency hedging tools and secondary liquidity remain less developed than those available in major bond markets or even in the CNH market. For example, although FX hedging is relatively more developed - the RMB's share of global OTC FX derivatives turnover rose from 1.0% in 2010 to 8.1% in 2025, rates hedging is less complete. According to BIS, RMB's share of global OTC interest-rate derivatives turnover was only 0.8% in 2025. IRS liquidity is concentrated in the front end and 5y. Offshore investors only have limited access to CGB futures. These factors constrain offshore investors' capacity to hedge longer-dated duration risks.

Authorities can support this by: (1) encouraging life insurers to hold qualifying Panda bonds as a standard admissible asset class and establish a tiered capital framework with favorable or at least clearly defined treatment for qualifying sovereign, supranational, policy-related, and high-grade Panda issuers; (2) promoting more longer-dated issuance; (3) standardizing Panda issuance towards international norms (e.g., less repeated legal/document requirements for seasoned issuers).



Dim Sum market: Strengthening the Offshore RMB Ecosystem

The Dim Sum market is entering a new phase of development. Rather than functioning solely as a symbolic offshore RMB market, policymakers increasingly appear focused on strengthening its role as the central offshore RMB benchmark and liquidity center. Efforts to increase issuance of RMB-denominated government and quasi-sovereign securities across multiple maturities could improve benchmark curve construction and support more efficient pricing of RMB assets.

In parallel, policy initiatives targeting market infrastructure, secondary-market liquidity, and offshore RMB ecosystem development reinforce Hong Kong's position as the primary offshore center for RMB financing and investment.

Key areas for development:

- **Curve formation.** A more regular issuance calendar across maturities would provide investors with clearer pricing references and facilitate relative-value analysis, portfolio construction, and risk management.
- **Liquidity and price discovery.** Improved trading infrastructure, funding markets, and benchmark issuance can enhance market efficiency and support broader institutional participation.
- **Investor diversification.** Measures to broaden participation from insurers, asset managers, pension funds, and international institutions may improve liquidity and reduce reliance on a narrow investor base.
- **Infrastructure expansion.** Enhancements to Bond Connect, derivatives markets, settlement systems, and trading platforms can strengthen Hong Kong's role within the broader offshore RMB ecosystem. In addition, to solidify Hong Kong's position as a leading offshore RMB digital bond hub, Hong Kong government is looking to [tokenize](#) RMB bonds.

Constraints

While prospects have improved, the Dim Sum market's history illustrates that growth is not always linear. Periods of rapid expansion have previously been followed by extended periods of contraction when offshore RMB liquidity tightened or investor demand weakened. Future growth will remain sensitive to:

- Offshore RMB liquidity conditions;
- RMB expectations;
- Relative funding costs;
- Policy support from both Hong Kong and mainland authorities.

As a result, the market's long-term success will depend not only on issuance growth (3Y avg growth of 30% YoY) but also on the creation of a deep, liquid, and sustainable offshore RMB investment ecosystem.



Panda and Dim Sum: Two components of RMB internationalization

Panda and Dim Sum bonds are crucial for RMB internationalization, not just for their issuance volumes, but for their role in converting RMB balances into investable and hedgeable financial assets. Dim Sum bonds expand the offshore RMB asset pool, while Panda bonds provide foreign borrowers access to onshore RMB funding. Together, they facilitate the RMB's transition from a trade-settlement currency to a broader funding and investment currency.

It's important to differentiate this process from achieving reserve-currency status. While bond market instruments aid currency internationalization, broader factors—including capital-account openness, institutional confidence, legal certainty, market liquidity, and macroeconomic stability—are equally critical.

Lessons from the Samurai market

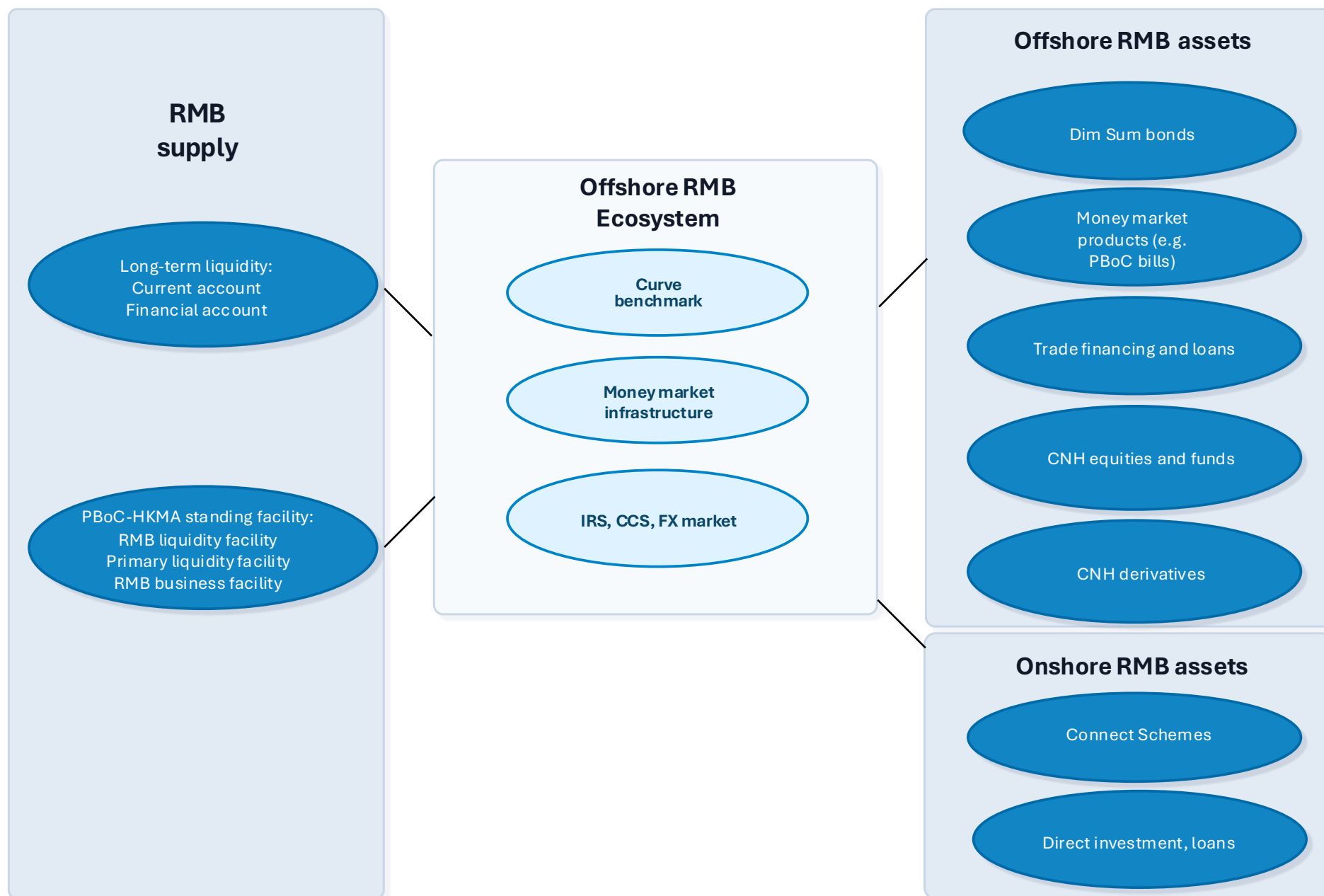
The Samurai bond market provides a useful historical comparison. Samurai bonds—yen-denominated bonds issued in Japan by non-resident borrowers—supported the internationalization of the yen by expanding the universe of yen-denominated assets, integrating foreign issuers into Japan's domestic capital market, and encouraging broader use of the yen in financing and investment.

By providing a recognized framework through which borrowers could raise yen and investors could hold yen-denominated assets, the Samurai market contributed to the development of the yen as an international financial currency. Panda and Dim Sum bonds are intended to perform a similar function for RMB by creating channels through which foreign issuers and global investors can borrow, invest, and maintain RMB exposure. However, the comparison also highlights an important limitation. The Japanese experience demonstrates that bond-market development alone does not guarantee reserve-currency status. Deep and liquid capital markets are a necessary component of currency internationalization, but they are only one element of a broader financial and institutional framework.

Strengthening the foundation of RMB internationalization

For RMB, progress will remain influenced by capital-account policies, onshore-offshore integration, market liquidity, investor participation, and the continued development of risk-management and hedging tools. The most likely path over the next five years is one of gradual rather than transformative change. Panda and Dim Sum bonds are becoming increasingly important pillars of RMB capital-market development and are likely to expand the stock of investable RMB assets, deepen cross-border RMB funding channels, and improve RMB market liquidity.

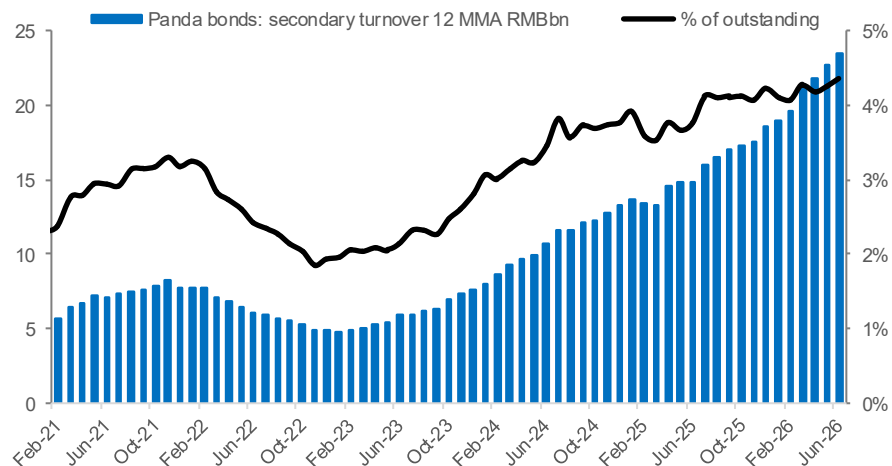
The strategic logic is straightforward: as trade settlement and financial activity generate RMB balances, investors and issuers require liquid RMB assets in which to invest and transact. Panda and Dim Sum bonds contribute directly to meeting that need. While their development alone will not determine the future international role of the renminbi, they represent an important mechanism through which RMB can gradually evolve from a transactional currency toward a more widely funded, invested, and held international currency.



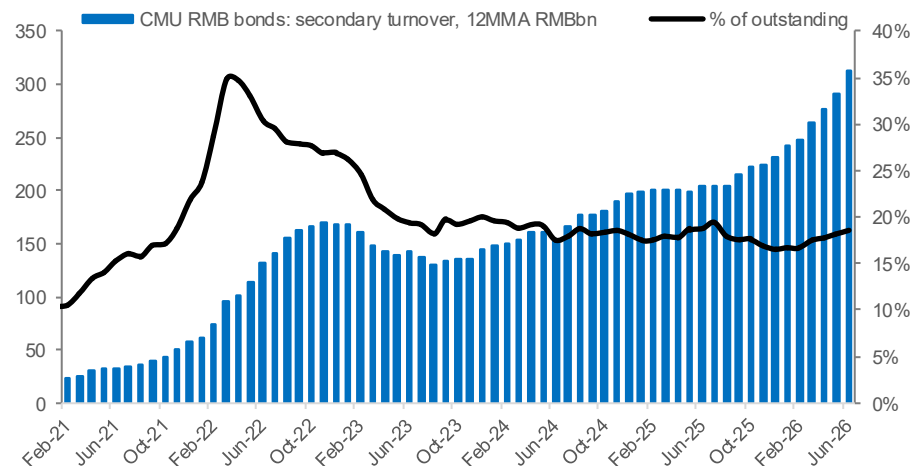
Source: Deutsche Bank Research



Secondary turnover remains limited for Panda...

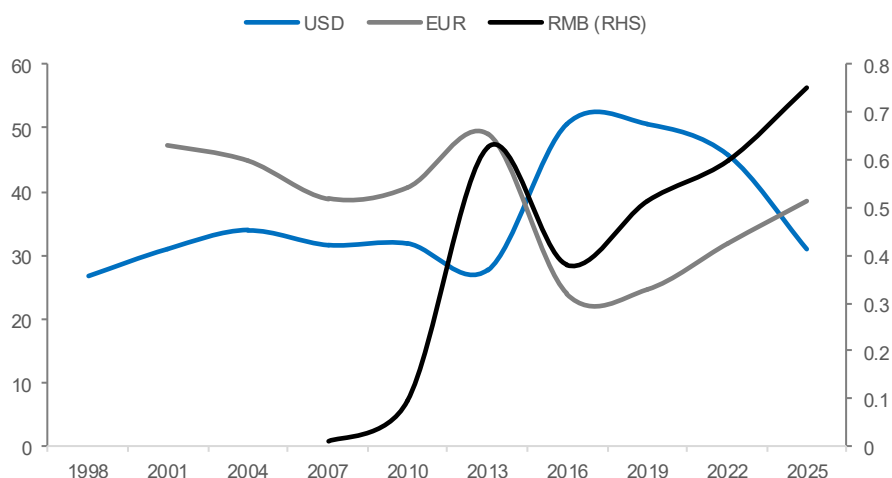


...and Dim Sum bonds



RMB accounts for less than 1% of global OTC interest-rate derivatives turnover

Turnover of OTC interest rate derivatives, by currency (% of total turnover)



Samurai's key lesson: successful offshore bond markets are built on ecosystems, not issuance alone

	Samurai		Dim Sum & Panda	
	Time	Key policy / milestone	Time	Key policy / milestone
Phase 1: Market creation	1970	ADB becomes first Samurai issuer; market opened to supranationals and sovereign-quality borrowers.	2005-07	First Panda bonds issued by IFC/ADB; first Dim Sum bond issued by China Development Bank
Phase 2: Issuer liberalisation	1978-1998	Corporate Samurai issuance began in 1979. Issuer eligibility and rating requirements were gradually relaxed through the 1980s-90s, while restrictions on the use of proceeds were broadened in the 1990s.	2010-present	Panda bond proceeds were allowed to be remitted offshore from 2010. Foreign sovereigns and corporates began issuing more actively from 2015, while issuance procedures and proceeds-use rules have been gradually simplified over time.
Phase 3: Market institutionalisation	1980 onwards	Samurai bonds were well received by Japan's large domestic savings pool. However, foreign ownership persistently stayed below 10%.	2023-present	The investor base is expanding through Southbound Bond Connect in 2026. However, attractiveness to overseas investors remains limited.
Phase 4: Mature and decay	Late 1990s	Samurai issuance declined as the yen's broader international role weakened and Japan's financial markets lost relative global importance.	2026+	The key challenge is to build a complete RMB funding ecosystem, rather than promoting individual instruments alone.

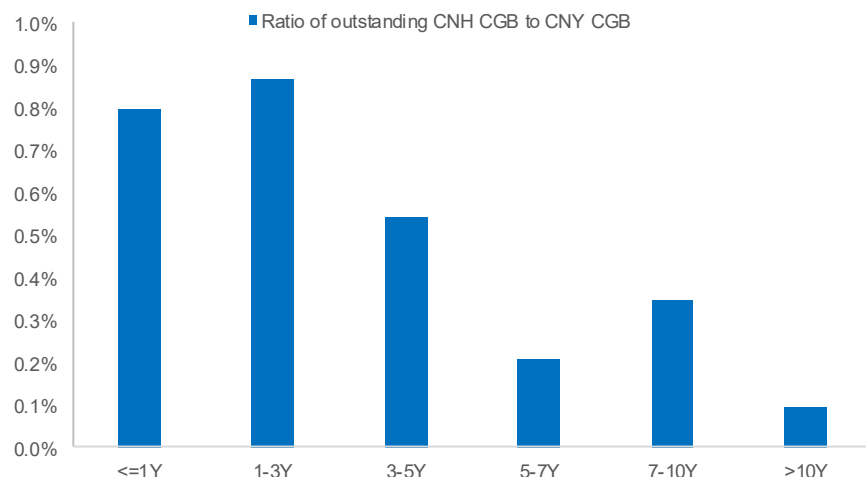
Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind, BIS



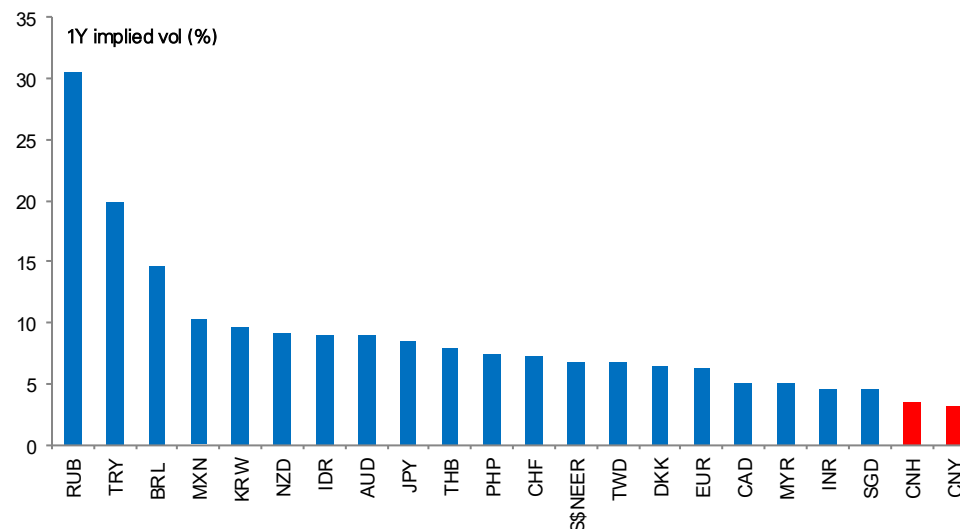
We expect the offshore RMB market to become more liquid as RMB internationalization progresses. A growing stock of offshore RMB should provide a larger and more stable liquidity pool for the CNH market. At the same time, policy initiatives aimed at expanding CNH asset classes and risk-management tools should improve the circulation of offshore RMB, supporting deeper and more efficient rates, funding, and FX markets. Against this backdrop, there can be meaningful developments across the offshore RMB ecosystem, particularly in the CNH government bond, IRS, CCS, and FX swap markets.

- **CNH CGBs:** A larger and more liquid CNH government bond market should facilitate the development of a more complete offshore RMB yield curve. Currently, outstanding offshore Chinese government bonds account for less than 1% of the onshore market. Greater issuance and improved secondary-market liquidity would strengthen price anchoring and establish a more robust benchmark curve for offshore RMB fixed-income products.
- **RMB FX vol:** RMB volatility remains exceptionally low by international standards. As China continues to liberalize its capital account and internationalise the RMB, the currency is likely to trade with greater two-way risk and less policy suppression, allowing volatility to move closer to levels seen in other major international currencies. A more market-driven RMB would likely have spillover effects across Asia, given China's dominant role in regional trade and financial flows, potentially lifting volatility across Asian EM FX more broadly

Outstanding CNH CGBs account for <1% of onshore counterparts



Rising RMB volatility could lift volatility across Asian FX markets



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

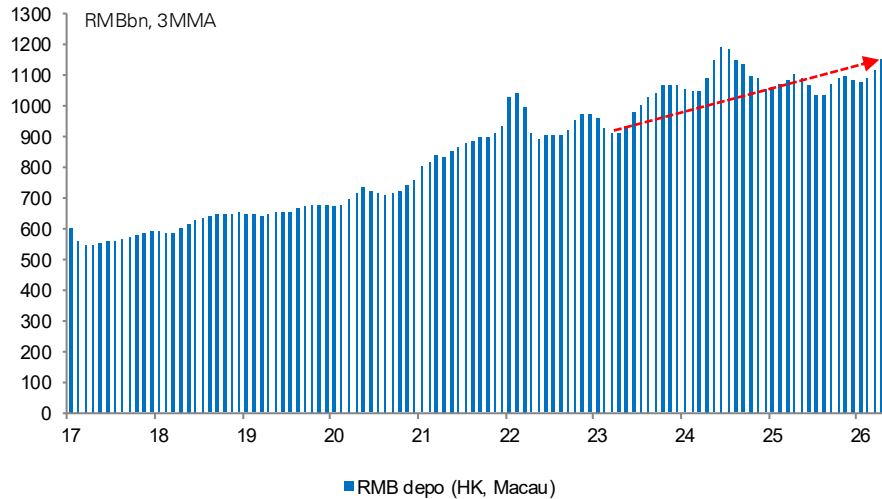


- **CNH IRS:** If CNH liquidity in Hong Kong continues to expand alongside the development of a deeper offshore RMB bond and loan market, the CNH IRS market could become significantly more liquid and relevant. Expanded HKMA and PBoC liquidity facilities, together with cross-border repo access, should reduce the frequency of offshore RMB funding squeezes and improve the reliability of CNH benchmark fixings. As more CNH bonds and loans are originated, natural hedging demand would support higher IRS turnover, tighter bid-offer spreads and longer tradable tenors. Over time, greater integration between onshore and offshore RMB markets should promote convergence between CNH and CNY interest rate curves, allowing CNH IRS to evolve into a more credible hedge for RMB rate risk and a key component of RMB internationalisation.
- **CNY IRS:** Ongoing RMB internationalisation should encourage offshore investors to access the onshore CNY IRS market through Swap Connect, while deeper CNH funding and collateral markets support those positions from Hong Kong. As offshore investors accumulate more CGBs, Dim Sum bonds and RMB assets, demand to hedge RMB duration risk using onshore CNY IRS is likely to increase, reinforcing Hong Kong's role as the gateway for RMB risk management. Improved CNH funding conditions and broader acceptance of offshore RMB collateral can enhance margin efficiency and reduce the cost of accessing onshore swaps, supporting larger and more stable CNY IRS activity through Hong Kong. Over time, deeper CNH liquidity should strengthen the linkages between offshore CNH funding markets, Bond Connect yields and the onshore CNY IRS curve. While onshore and offshore markets are likely to remain distinct, greater connectivity should reduce the frequency and persistence of large dislocations between offshore CNH markets and onshore RMB rates.
- **CCS:** In the near term, we expect the CNH CCS curve to flatten further. Rapid growth in Dim Sum issuance, together with the ongoing extension of issuance tenors, should increase receiving demand at the long end of the curve. Over time, a deeper CCS market should lower cross-currency funding costs and support the growing role of RMB in international financing. Long-end CCS dynamics (10Y and above) are also likely to become increasingly traded driven by RMB internationalization through Panda bonds, Dim Sum bonds, and RMB-denominated cross-border lending.
- **FX Swap:** As the offshore RMB liquidity pool expands, we expect the CNH FX swap market to become deeper and more efficient. CNH FX swap bid-ask spreads remain materially wider than those in the onshore market, reflecting the relatively limited depth of offshore RMB funding. Greater CNH liquidity should narrow transaction costs, improve market depth, reduce funding volatility, and strengthen pricing convergence between offshore and onshore RMB markets.

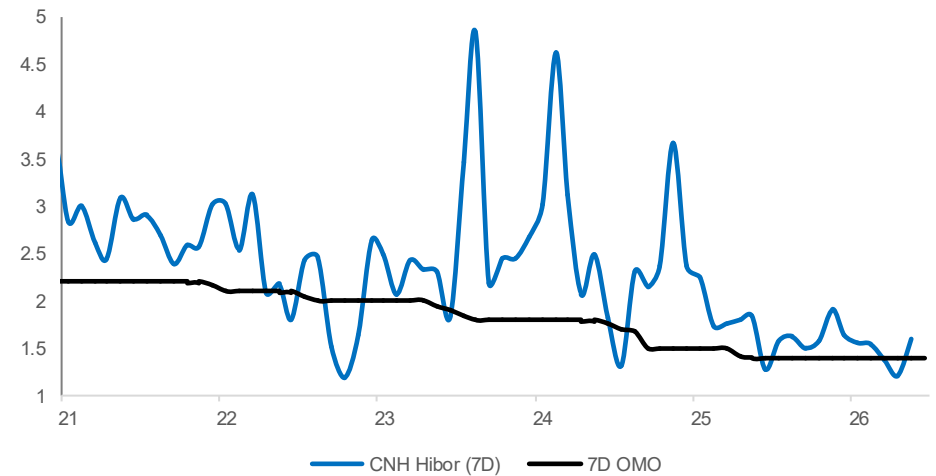
The next phase of RMB market development: a deeper market with higher liquidity



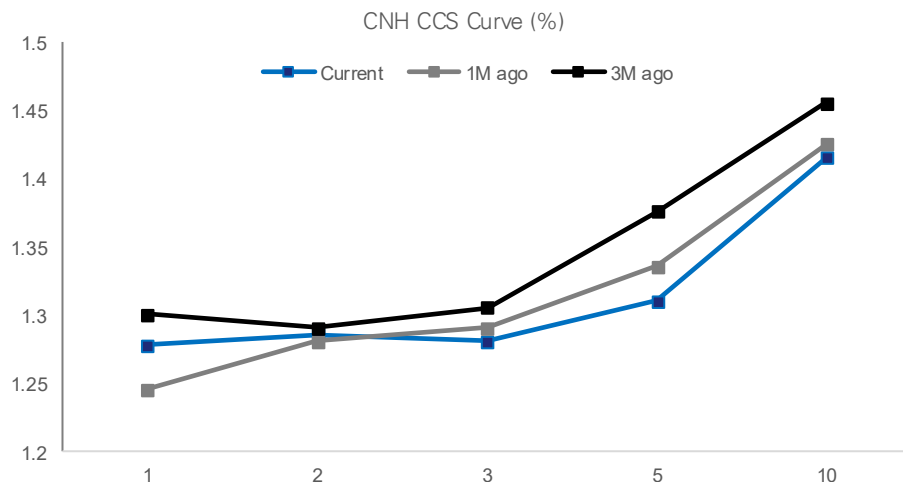
Continued growth in offshore RMB deposits should provide the foundation for a deeper and more liquid CNH market



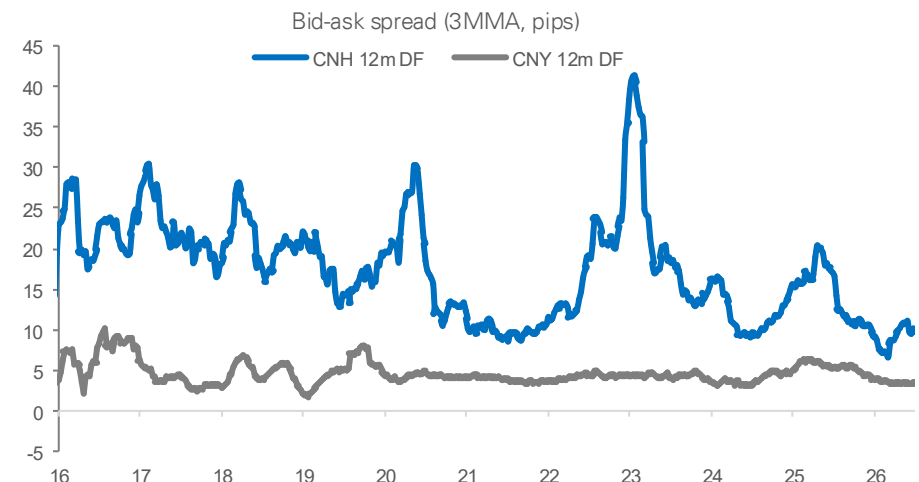
CNH funding cost volatility will likely become more anchored



CNH CCS curve to further flatten amid RMB bonds expansion



Expanded liquidity should narrow offshore FX swap transaction costs



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

Expanding European participation in RMB funding markets



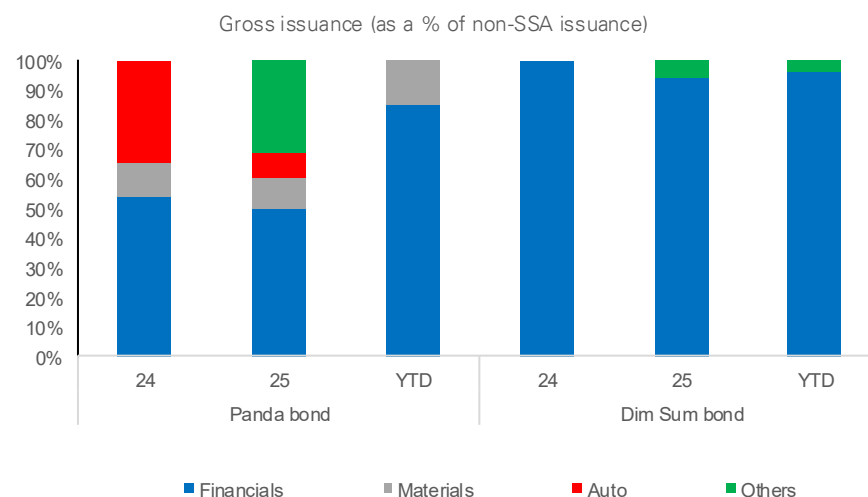
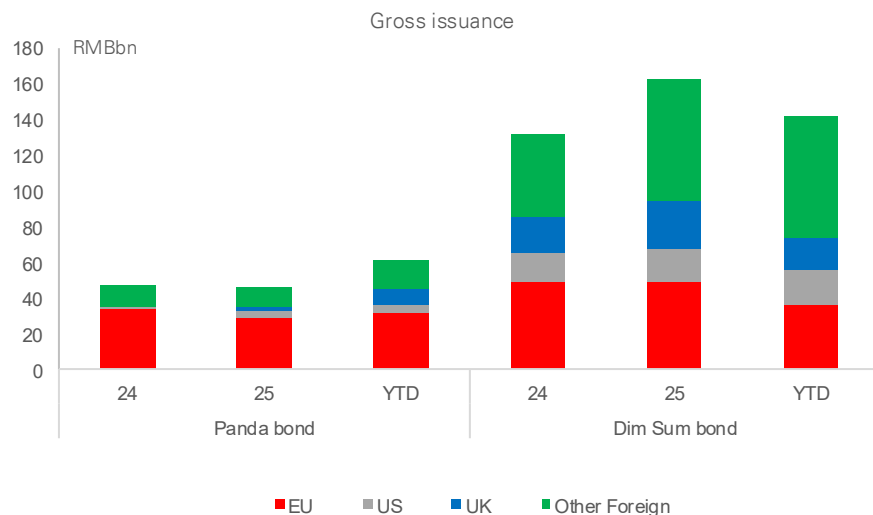
European entities are major players in the RMB bond market, representing over half of foreign Panda and a third of Dim Sum issuance. However, the issuer base is highly concentrated, with financial institutions dominating (85-95%) and repeat borrowers accounting for over 90% of activity. The key challenge lies in attracting new issuers, not retaining existing ones.

Primary hurdles include smaller deal sizes compared to major markets, a narrower investor base, and lack of market familiarity. These factors often make the upfront investment in RMB funding infrastructure, documentation, and investor relationships economically unfeasible.

Looking ahead, we anticipate these barriers will ease with RMB internationalization. A deeper offshore RMB ecosystem will support larger benchmark issuance, broaden the investor base, and improve liquidity. Further development of CNH derivatives markets will simplify currency risk hedging and RMB proceeds swaps. Additionally, China's low interest rates and growing China-related business exposure could enhance RMB funding appeal for international corporates. As the cost-benefit equation improves, we expect future market development to be driven by a broader range of international issuers, particularly European corporates, rather than larger issuances from existing borrowers.

EU issuers account for a large share of foreign RMB bond issuance...

...but the issuances are overwhelmingly concentrated in financial institutions

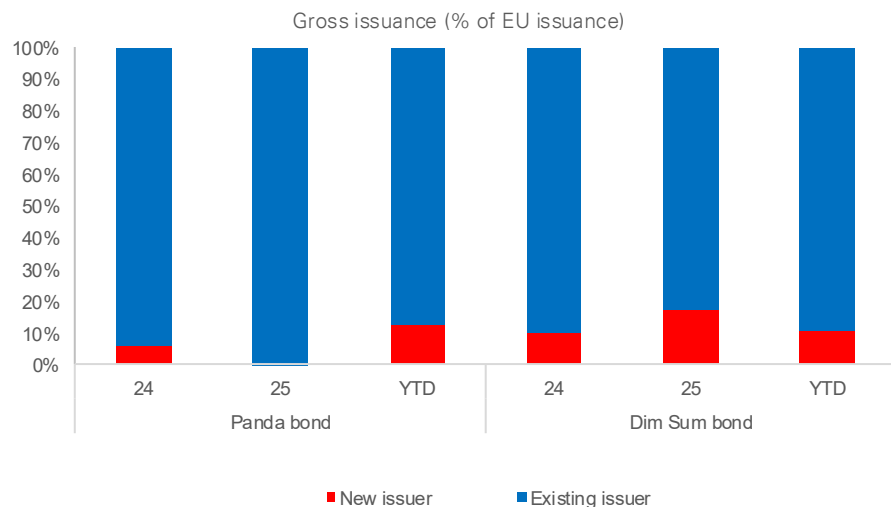


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind, BIS

Structural tailwinds point to a broader EU issuer universe



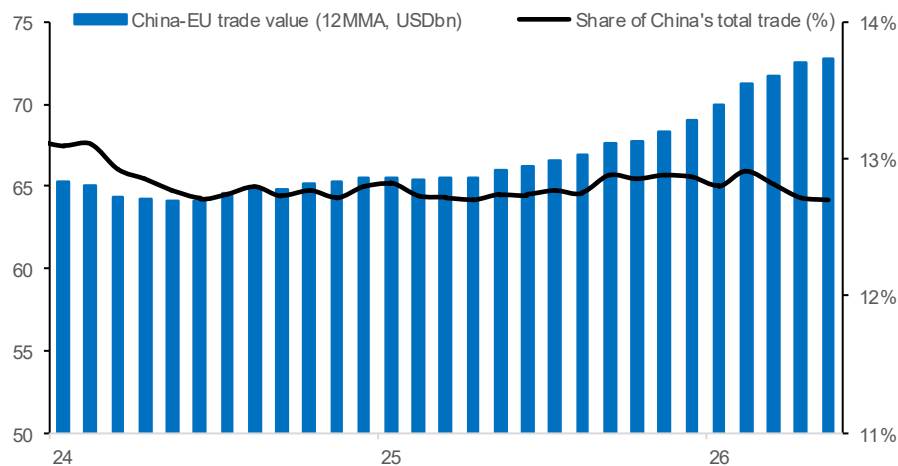
EU RMB bond issuance remains dominated by repeat borrowers



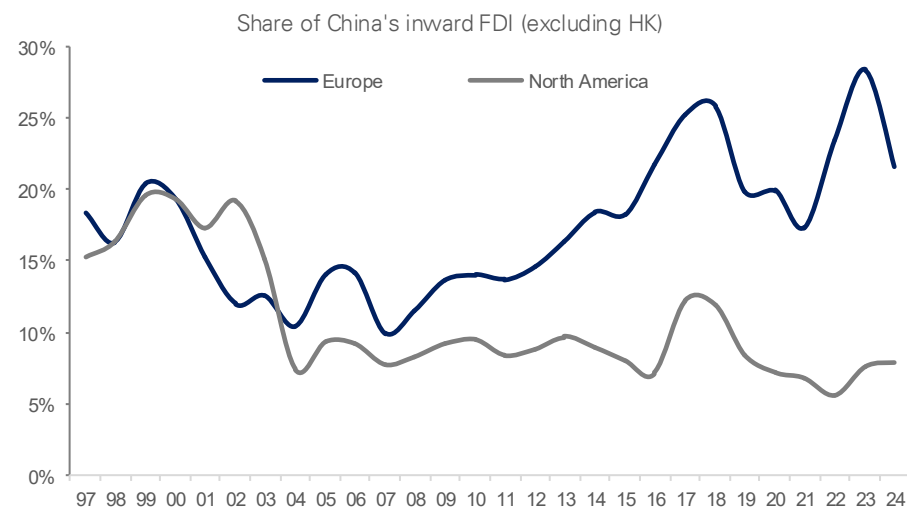
Global debt markets are gradually diversifying away from USD



EU is China's biggest trading partner...



...the most important source of FDI



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind, BIS

Appendix 1

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